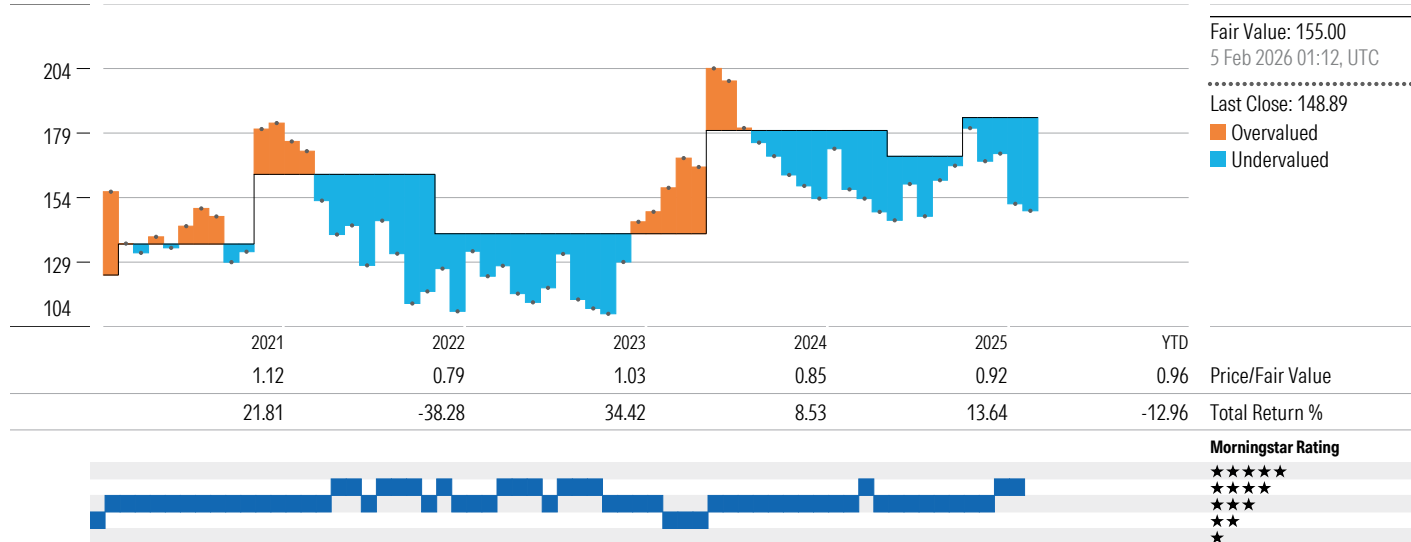


Qualcomm Inc QCOM ★★ ★ 5 Feb 2026 01:15, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment
148.89 USD	155.00 USD	0.96	159.02 USD Bil	Narrow	Large Value	High	Standard	
4 Feb 2026	5 Feb 2026 01:12 UTC		4 Feb 2026					7 Jan 2026 06:00 UTC

Price vs. Fair Value



Total Return % as of 04 Feb 2026. Last Close as of 04 Feb 2026. Fair Value as of 5 Feb 2026 01:12, UTC.

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Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Qualcomm Earnings: Reducing Fair Value to \$155 from \$185 With Smartphone Weakness

Analyst Note Brian Colello, CPA, Senior Equity Analyst, 5 Feb 2026

Qualcomm reported fiscal first-quarter revenue of \$12.25 billion, up 9% sequentially, up 5% year over year, and just above the midpoint of guidance. Qualcomm expects March-quarter revenue of \$10.6 billion at the midpoint, below FactSet consensus of \$11.1 billion.

Why it matters: Qualcomm anticipates a slowdown in smartphone demand over the next few quarters. Memory chipmakers will reduce smartphone DRAM production to instead focus on artificial intelligence chip production.

- In turn, Chinese-based Android phone makers are cutting production and placing fewer processor orders with Qualcomm. This dynamic is driving Qualcomm's weak guidance for the March quarter, although all other end markets should hold up relatively well.
- Handset device makers, in turn, are reducing their manufacturing activity and the chip inventory they hold. Although Qualcomm's automotive business is holding up decently, Qualcomm's high smartphone exposure will still weigh on results.

The bottom line: We reduce our fair value estimate for narrow-moat Qualcomm to \$155 from \$185, based on the weak near-term outlook and our revised long-term operating expense assumptions, as the company is investing heavily in new growth areas.

- Shares sold off about 8% after hours to \$135. Shares still appear a bit undervalued to us for long-

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Sector	Industry
 Technology	Semiconductors

Business Description

Qualcomm develops and licenses wireless technology and designs chips for smartphones. The company's key patents revolve around CDMA and OFDMA technologies, which are standards in wireless communications that are the backbone of all 3G, 4G, and 5G networks.

Qualcomm's IP is licensed by virtually all wireless device makers. The firm is also the world's largest wireless chip vendor, supplying nearly every premier handset maker with leading-edge processors. Qualcomm also sells RF-front end modules into smartphones, as well as chips into automotive and Internet of Things markets.

term, patient investors willing to ride out these near-term smartphone production headwinds.

- On an adjusted basis, operating expenses rose 8% year over year in the first fiscal quarter, and Qualcomm is guiding to roughly 15% growth in the March quarter. We expect these high levels to persist as Qualcomm invests in data centers and elsewhere.

Coming up: By end market, on a year-over-year basis, Qualcomm expects 35%-plus growth in automotive chip sales and low-teens growth in Internet of Things sales, but a low-teens decline in handset chip sales.

Business Strategy & Outlook Brian Colello, CPA, Senior Equity Analyst, 1 May 2025

We expect Qualcomm's chip business (QCT) and licensing business (QTL) to continue to generate healthy cash flow and reinforce the company's narrow moat rating, as Qualcomm should remain an industry leader in chipsets and IP for 5G. Apple's decision to build its own baseband chips, or modems, to displace Qualcomm will be a medium- to long-term headwind, but not a death blow, especially as Qualcomm is poised to grow in automotive and Internet of Things semis. In licensing, Qualcomm has withstood a host of government inquiries and customer pushback, and we think QTL will maintain a hearty stream of high-margin royalty revenue over time.

Qualcomm is first and foremost the steward of patents associated with wireless communications technologies, originally in third-generation, or 3G, CDMA networks and, later, in 4G LTE and 5G networks commonplace today. Qualcomm's treasure trove of patents in 3G, 4G, and 5G allows the firm to charge device-makers a royalty fee as a percentage of the price of each device sold. We view Qualcomm at the forefront in 5G network proliferation, and we consider it a favorite to develop 6G IP too.

In addition to licensing its IP portfolio, the firm designs chips used predominantly in smartphones and has historically held a competitive edge in baseband chips, which are critical to devices' inherent ubiquitous connectivity. Qualcomm's high-end Snapdragon application processors, which often integrate baseband chip functionality, are commonplace in high-end Android smartphones, though OEMs like Samsung have sought to replicate Apple's strategy of developing in-house chips. Despite these threats, Qualcomm has retained technological superiority over many rivals, and we think there's a good chance this will continue in the decade ahead.

Outside of smartphones, the company is also pivoting into areas such as automotive and PC processors. We foresee a higher need for advanced processing power in autos, while Microsoft's support of a host of Qualcomm-powered devices might allow the company to gain share from incumbents Intel and AMD in the long run.

Bulls Say Brian Colello, CPA, Senior Equity Analyst, 5 Feb 2026

- Qualcomm collects royalty income on the majority of 4G and 5G handsets sold, as it holds many

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Competitors

	Qualcomm Inc QCOM	Apple Inc AAPL	Intel Corp INTC	MediaTek Inc 2454
	 Fair Value 155.00 Uncertainty: High Last Close 148.89	 Last Close 276.49 Fair Value 260.00 Uncertainty: Medium	 Last Close 48.60 Fair Value 32.00 Uncertainty: Very High	 Last Close 1,800.00 Fair Value 1,660.00 Uncertainty: High
Economic Moat	Narrow	Wide	None	Narrow
Currency	USD	USD	USD	TWD
Fair Value	155.00 5 Feb 2026 01:12, UTC	260.00 30 Jan 2026 04:53, UTC	32.00 23 Jan 2026 04:26, UTC	1,660.00 31 Jul 2025 12:09, UTC
1-Star Price	240.25	351.00	56.00	2,573.00
5-Star Price	93.00	182.00	16.00	996.00
Assessment	Undervalued 4 Feb 2026	Fairly Valued 4 Feb 2026	Overvalued 4 Feb 2026	Fairly Valued 4 Feb 2026
Morningstar Rating	★★★ 5 Feb 2026 01:15, UTC	★★★ 4 Feb 2026 22:36, UTC	★★ 4 Feb 2026 22:33, UTC	★★★ 4 Feb 2026 14:30, UTC
Analyst	Brian Colello, Senior Equity Analyst	William Kerwin, Senior Equity Analyst	Brian Colello, Senior Equity Analyst	Phelix Lee, Equity Analyst
Capital Allocation	Standard	Exemplary	Standard	Standard
Price/Fair Value	0.96	1.06	1.52	1.08
Price/Sales	3.67	9.23	4.22	4.90
Price/Book	7.45	44.93	2.15	6.82
Price/Earning	30.09	34.11	—	26.95
Dividend Yield	2.39%	0.38%	0.00%	3.01%
Market Cap	158.96 Bil	4,057.43 Bil	242.72 Bil	2,873.01 Bil
52-Week Range	120.80—205.95	169.21—288.62	17.67—50.39	1,130.00—1,575.00
Investment Style	Large Value	Large Blend	Large Growth	Large Blend

essential patents used in these networks.

- Qualcomm is the clear market leader in wireless chips, with a leading market-share position in 5G chipsets and relationships with every prominent smartphone maker. It has leveraged this expertise into the automotive and Internet of Things end markets.
- Qualcomm appears poised to gain share in PC CPUs as, after many years of fits and starts, the Windows ecosystem might finally be tilting its support toward CPUs from companies like Qualcomm.

Bears Say Brian Colello, CPA, Senior Equity Analyst, 5 Feb 2026

- Qualcomm's chip business faces a host of challenges, from potential share loss at Samsung and Apple, to some of its customers developing mobile processor IP and design expertise in-house.
- Qualcomm's licensing business has faced regulatory scrutiny in the US, Taiwan, China, South Korea, and other regions. The biggest threat facing Qualcomm is a negative ruling that states its royalties should not be based on the full price of the phone.

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- Qualcomm needs to diversify beyond smartphones, which may be challenging as a host of competitors are attempting a similar strategy.

Economic Moat Brian Colello, CPA, Senior Equity Analyst, 20 Nov 2023

We assign a narrow economic moat rating to Qualcomm, stemming from intangible assets. The firm's durable competitive advantage, in our view, comes from patents, intellectual property, and decades of R&D expertise in wireless technologies. The company monetizes this expertise in two forms. First is a licensing model, QTL, where virtually every handset maker pays Qualcomm a royalty to gain access to the company's essential wireless patents. Second, Qualcomm's chip business, QCT, has expertise in designing baseband chips and application processors that handle wireless data traffic. We consider Qualcomm's wireless chipsets to be best-of-breed, enabling the firm to capture a pricing premium and healthy operating margins. We think it is more likely than not that the company will profit from this expertise for the next decade, and perhaps longer.

We believe Qualcomm controls an extensive portion of the essential patents needed to operate wireless networks. Historically, Qualcomm obtained a near-monopoly on CDMA technology patents in 3G wireless networks, and the firm's QTL segment was able to charge a royalty fee as a predetermined percentage (3%-5%) of the price of each device sold. The company didn't develop a monopoly in 4G patents, but certainly contributed enough innovation to warrant earning royalties on virtually all 4G devices as well.

In a 5G world, Qualcomm owns a good portion of essential patents, and when combined with backward compatibility with 4G and even 3G, the company is extracting a lucrative stream of royalty revenue from virtually all 5G phones. Officially, the company's licensing program allows Qualcomm to earn royalties equal to 3.25% of the net selling price of multi-mode smartphones (that is, 5G with 4G, 3G, and so on) and 2.275% of the net selling price of single-mode 5G smartphones (that is, those phones that lack backward compatibility). In practice, QTL negotiates royalty deals with individual phone makers, but Qualcomm's blended royalty rate still hovers within the 2.5% range. We think QTL's lucrative 5G royalty stream will persist for the next decade. In turn, Qualcomm is likely to reinvest in 6G networks (expected to roll out in 2030 and beyond), and in turn, we think it is likely it can maintain a licensing revenue stream beyond this decade too.

On the downside, however, we see some risks that make it conceivable that QTL revenue could be slashed in the years ahead. First, there is no guarantee that Qualcomm will emerge as the technological 6G leader, in order to earn royalties per device on par with prior 5G/4G/3G rates. Qualcomm's emergence as a 3G CDMA leader came at the expense of TDMA (championed by Nokia and others). Any alternate version of 6G that is not reliant on Qualcomm's technologies could significantly cut the QTL business out of the loop.

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Second, Qualcomm's large licensing customers, such as Apple, have argued that QTL royalties should be based on the cost of the cellular components of the device (baseband, RF, antennas, and so on), rather than cost of the entire device. Qualcomm has defended its position well in recent years, and we view the debate as quiet for now, but acknowledge the risk that it might be rekindled again.

Third, Qualcomm faced scrutiny from regulatory agencies, inquiring into its licensing practices as such payments inevitably raise the price of smartphones to all consumers. We again think the scrutiny has been quiet recently, as regulators appear focused on Big Tech or artificial intelligence firms. If rekindled, Qualcomm should be able to defend itself at best, or perhaps pay a fine, with a lower royalty rate being a worst-case scenario. Still, we have concerns that all will remain well in QTL for 20-plus years to warrant a wide moat rating for this segment, and in turn, the company as a whole.

In chipsets (QCT), Qualcomm has leveraged its expertise in wireless networks into chip design, with a significant presence in smartphones. The firm's marquee products are its set of Snapdragon processors. These chips incorporate the application processor (which includes a CPU, GPU, and other functions that run the apps and operating system on a smartphone) and the baseband chip, or modem (which connects the phone to the wireless network to upload and download data). Qualcomm's Snapdragon processors are found in most Android devices from firms like Xiaomi, Oppo, Vivo, and a good portion of Samsung's handsets.

Apple is also a customer for Qualcomm's chips, but only for baseband chips (which Qualcomm discusses as "thin modems"). Apple is striving to build up its own 5G baseband expertise, either into its own modems or, ultimately, to incorporate such functionality into its A-series processors. However, Apple's efforts have been slow going, which we think highlights Qualcomm's intangible asset expertise in 5G baseband designs. Quite simply, designing a 5G baseband chip, and integrating all of the data flows across dozens of spectrum frequencies, appears to be rather difficult. As much as Apple would like to bring this functionality in house, it likely would not dare to incorporate an inferior baseband chip into its crown jewel iPhones. Instead, Apple has renewed an agreement with Qualcomm, where Qualcomm will remain the baseband supplier into Apple for the iPhone 15 series (which will be revenue in fiscal 2024 for both firms) as well as the iPhones to arrive in fiscal 2025 and 2026, respectively. Qualcomm anticipates that it will be cut out of 80% of iPhones in fiscal 2027, but this loss of business is not set in stone yet.

Despite Qualcomm's baseband expertise and market leadership, we don't see significant switching costs in smartphone processors. Devices are re-designed every couple of years, so Qualcomm's wins today may not lead to decades of revenue streams. Further, many of Qualcomm's customers have aspirations (or the capabilities already) to build their own processors and/or baseband chips. Apple will soon be able to avoid using Qualcomm's chip content, and Samsung has the in-house pieces to cut Qualcomm out too. Thus, we hesitate to assign QCT with a wide moat rating, despite the firm's

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dominance today.

Outside of smartphones, Qualcomm is striving to expand into automotive solutions, including baseband and other connectivity chips for cars, as well as processors used in the digital cockpit and active safety systems. Qualcomm is targeting \$4 billion of revenue in fiscal 2026, which we think is achievable, and announced in Sept 2022 that it had a \$30 billion automotive design win pipeline. However, we anticipate that Nvidia and a host of other digital chipmakers will have their eyes on these same sockets. Customer switching costs are high in automotive, so we don't think Qualcomm will easily be displaced in its existing design wins. However, Qualcomm's automotive business is relatively small, and we don't have enough visibility into its design wins to incorporate this business into our moat rating.

Qualcomm has also focused its design efforts on PC processors. Again, even if Qualcomm's efforts here emerge to be technologically impressive, the company will square off against a host of tech titans like Intel, AMD, Nvidia, and others for these design wins, without a guarantee of success. We would not yet attribute a moat rating to Qualcomm's budding PC business.

Fair Value and Profit Drivers Brian Colello, CPA, Senior Equity Analyst, 5 Feb 2026

Our fair value estimate is \$155 per share, which implies a fiscal 2025 price/adjusted earnings ratio of 15 times and a 5% free cash flow yield.

We model a 2% revenue decline in fiscal 2026, as modest modem share loss at Apple and reduced Android-based smartphone production will offset Qualcomm's strong growth in its automotive and Internet of Things chip segments. Qualcomm has held 100% market share in supplying the baseband chip, or modem, for all iPhones. However, Qualcomm has hinted that it expects to retain 70% share within the iPhone 17 series announced in September 2025, with such revenue making up Qualcomm's fiscal 2026. This is because Apple is turning to its internally designed C1 modem chip for the iPhone Air.

We model 6% revenue growth in fiscal 2027 as we expect Qualcomm to start to earn data center AI processor revenue. In fiscal 2027, Qualcomm expects its modem share within Apple's iPhone 18 series to be only 20%, which we interpret as Qualcomm basically selling chips into the older generation of iPhones, but none of the new designs to be announced in late 2026 (again with the bulk of revenue coming within Qualcomm's fiscal 2027). Offsetting these headwinds are growth in auto, IoT, and data centers as Qualcomm's diversification efforts start to pay off.

Once the Apple wind-down is out of our model, we project 912% growth in fiscal 2028 and mid-single-digit revenue growth thereafter, which we think is a proper long-term midcycle growth rate. Adding this up, we project a 6% CAGR for Qualcomm's revenue through fiscal 2030.

By end market, we model a CAGR of 1% through 2030 for Qualcomm's QCT handset business, again due

Qualcomm Inc **QCOM** ★★★ 5 Feb 2026 01:15, UTC

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to the loss of Apple. We model a 33% CAGR through fiscal 2030 in QCT automotive revenue and think management's targets of \$4 billion in fiscal 2026 and \$8 billion in fiscal 2029 are achievable, if not conservative. We model an 18% CAGR for QCT IoT revenue and think management's forecast of \$14 billion in revenue in fiscal 2029 is also achievable, especially with its announced AI data center deal with Humain.

We model a 3% CAGR for Qualcomm's licensing business, QTL. The loss of Apple chipset revenue won't weigh on QTL, but we don't foresee much growth or pricing uplift for the smartphone market as a whole.

Throughout our forecast period, we expect Qualcomm to be highly profitable. Qualcomm earned a 35% adjusted operating margin in fiscal 2025. We think these profits will decline as Qualcomm invests more heavily in R&D and growth opportunities. Still, the firm should generate adjusted operating margins in the low 30% range in each of the five years of our forecast period.

Risk and Uncertainty Brian Colello, CPA, Senior Equity Analyst, 20 Nov 2023

We assign Qualcomm a High Morningstar Uncertainty Rating, as its chip business faces a competitive market in which customers design their own processors and its licensing business has historically faced both regulatory scrutiny and customer disagreements. The vertical integration trend implemented by leaders Apple and Samsung has propagated to the second tier of smartphones, which is an area Qualcomm has heavily relied on in recent years. Should all major high-end OEMs utilize only in-house application processors, Qualcomm's chips would be relegated to lower-priced handsets that would curb chip margins. We note Qualcomm's expertise in 5G and forays into RF front-end components, automotive, and the Internet of Things has helped mitigate some of this pressure.

Qualcomm's initial settlement with Apple in 2019 enabled the firm to regain its formerly lost market share in baseband semis within iPhones. Apple has remained on a path to develop its own 5G modem to displace Qualcomm, but a renewed agreement in Sept 2023 suggests that Qualcomm will likely retain the majority of iPhone modem content for the next two to three years. Still, it seems inevitable to us that Qualcomm will lose 100% of this content in the long-run.

On the environmental, social, and governance front, we do not foresee any material issues on the horizon. Perhaps the greatest risk is the potential regulatory scrutiny of Qualcomm's licensing business. Qualcomm has overcome multiple cases against its QTL business and has reached agreements with OEMs such as Apple and Huawei that had withheld royalties in recent years. Nonetheless, we believe there will always be a fair amount of risk that Qualcomm's QTL business will face additional regulatory scrutiny that could threaten its licensing revenue.

Capital Allocation Brian Colello, CPA, Senior Equity Analyst, 1 May 2025

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We assign Qualcomm with a Standard Capital Allocation Rating. The rating reflects our assessments of a sound balance sheet, fair investments associated with the firm's strategy and execution, and appropriate shareholder distribution policies.

Cristiano Amon took over as CEO in January 2021. We believe Amon, who has been with Qualcomm for most of his career, will continue to capitalize on the company's 5G leadership and diversifying beyond smartphones into automotive and the Internet of Things.

Qualcomm has a sound balance sheet, with reasonable debt levels juxtaposed with healthy cash and cash equivalents. Following the firm's failed NXP acquisition, the firm used its lofty cash balance to repurchase shares at attractive levels while investing in its 5G and RF-front end expertise and new end market opportunities in automotive, PCs, and the Internet of Things. We believe Qualcomm has done a fair job in investing in areas to add value to the firm.

Qualcomm's ability to navigate the numerous regulatory challenges has had its share of ups and downs in recent years. Regulatory issues in China were perhaps the biggest concern several years ago but now seem to have been resolved as Qualcomm receives a lower royalty rate on 5G single mode devices and has settled with tech titan Huawei within the region. Additional inquiries, especially in South Korea and the US, were concerning, though we were encouraged by Qualcomm's successful appeal against the US FTC in 2020.

The firm's chip business had, at times, lost important designs at Samsung and its baseband business at Apple, though in recent years Qualcomm has stemmed these losses and has regained share at both Apple (following the settlement between the two firms in April 2019) and Samsung. The dual-sourcing and internally developed processor strategies taken on by OEMs still loom as threats for the firm. Qualcomm believes it will have about 70% market share within Apple's iPhone 17 series and only 20% within the iPhone 18 series to be launched in late 2026. We interpret this latter comment to mean that Qualcomm's presence will only be within older iPhone models sold during the 2026 holiday season and into 2027.

We believe the firm has exhibited a sound strategy for returning cash to shareholders, as it intends to distribute much of its free cash flow. The company has consistently bought back shares in recent years. Qualcomm also pays out a solid quarterly dividend of \$0.85 per share.

We generally approve of Qualcomm's acquisitions, such as Atheros in 2011, CSR in 2015, and Nuvia in 2011. In October 2021, Qualcomm acquired ADAS pure-play Veoneer for \$37 per share, or \$4.6 billion in equity value. The crown jewel of the deal for Qualcomm was Arriver, which was Veoneer's dedicated software unit for the development of ADAS and autonomous driving systems (the rest of the Veoneer business was sold to others). We think Qualcomm wants to integrate its Snapdragon Ride platform and 5G expertise with Arriver's computer vision, drive policy, and other ADAS capabilities, which could bolster its automotive competitive positioning.

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Analyst Notes Archive

Qualcomm Earnings: Core Chip Business Faring Well While Investors Await Data Center AI Details

Brian Colello, CPA, Senior Equity Analyst, 6 Nov 2025

Qualcomm reported fiscal fourth-quarter revenue of \$11.3 billion, up 10% year over year and above the high end of guidance. Revenue for the December quarter is expected to be \$12.2 billion, which would be up 8% sequentially and 5% year over year. Why it matters: Qualcomm continues to execute well, as all three of its QCT chip segments (handsets, autos, and Internet of Things) exceeded management's expectations. We're impressed with Qualcomm's handset business, as it is achieving growth in the Android space as consumers shift toward premium Android phones versus mid-range or entry-level, all while Qualcomm is capturing higher pricing on its processor lineup. QCT handset revenue grew 14% year over year, despite the early innings of chip market share losses at Apple. Qualcomm's modems are absent from the iPhone Air this year and will likely be out of all models in fiscal 2027. The bottom line: We maintain our \$185 fair value estimate for narrow-moat Qualcomm and view shares as slightly undervalued. Shares fell about 2% after hours Nov. 5, and we suspect it is because Qualcomm punted on disclosing details into its data center business until early 2026. We anticipate that Qualcomm's newly announced artificial intelligence products might move the company's stock price, one way or the other, in the months ahead. Data center AI processors represents a multi-billion-dollar opportunity for Qualcomm. Coming up: Qualcomm's QCT revenue forecast of \$10.6 billion would be up 8% sequentially and 5% year over year. Qualcomm expects low-teens sequential growth in handsets, again thanks to its content wins in Android smartphones. Auto chip sales will likely grow a low-teens percentage year over year. Qualcomm remains the dominant smartphone processor vendor, in our view, and we like its promising opportunities in autos and IoT. PCs and now AI processors are the wild cards to our valuation, and favorable execution here could present upside to the stock.

Qualcomm: Raising Fair Value Estimate to \$185 From \$170 as Humain Deal Provides Some AI Upside

Brian Colello, CPA, Senior Equity Analyst, 27 Oct 2025

Qualcomm unveiled its AI200 and AI250 chip cards and racks for artificial intelligence, aimed at the AI inference market. Saudi Arabia's AI investment arm, Humain, agreed to deploy the AI200 and AI250 for 200 megawatts of data centers, starting in 2026. Why it matters: We're pleased with Qualcomm's announcements, as we had skepticism for its data center aspirations given stout competition from Nvidia and AMD. The Humain deal might lead to meaningful revenue for Qualcomm, and any revenue in AI data centers represents upside for the firm. Data center AI gives Qualcomm another avenue for growth and diversification. The firm has been making the right moves by diversifying into autos and PCs, but we didn't think it was enough to overcome the stagnation in its larger smartphone business. AI might change this narrative. The bottom line: We raise our fair value estimate for narrow-moat Qualcomm to \$185 from \$170 as we layer in \$2 billion of new AI revenue at corporate profitability levels

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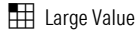
in 2027 and beyond. Shares appear fairly valued. Our rough assumption of \$2 billion for a 200 MW data center equates to a \$10 billion opportunity for its AI processors within a 1 GW data center. This compares with the \$50 billion opportunity for Nvidia per GW, but Nvidia has stronger networking capabilities and pricing power. Shares rose as much as 20% on the Oct. 27 news, likely thanks to AI headline hype. Shares retreated midday but were still up more than 10%, which we think is a more reasonable share price reaction based on fundamentals. Big picture: Several technological aspects of the racks remain unanswered, and we think Qualcomm will now be closely examined for its AI execution and roadmap in the years ahead. Given the strong, established alternatives in AI to date, Qualcomm must be effective right away to have any chance in AI. Ultimately, the Humain deal represents upside for Qualcomm but still doesn't cement Qualcomm as an AI leader on par with Nvidia, Broadcom, or AMD.

Qualcomm Earnings: Slight Miss in Handset Semis, but Diversification Remains on Track Brian Colello, CPA, Senior Equity Analyst, 31 Jul 2025

Qualcomm reported fiscal third-quarter revenue of \$10.4 billion, down 6% sequentially but up 10% year over year and above the midpoint of guidance. Qualcomm's outlook for the September quarter calls for \$10.7 billion of revenue, which would represent a deceleration to 4.5% year-over-year growth. Why it matters: Qualcomm remains on a steady track to diversify its business, as it earned nice growth in auto and Internet of Things, or IoT, revenue. Handset chip revenue will face headwinds from lost business at Apple, but partnerships with Samsung and Xiaomi appear to be solid. Chip (QCT) handset revenue was the disappointment in the quarter, growing 7% year over year but short of 10% guidance, due to a weaker product mix shift. Automotive revenue grew 21% year over year and should exceed \$1 billion in September. We are most optimistic about Qualcomm hitting its long-term revenue targets in autos, but caution investors that autos are still only about 10% of total revenue. The bottom line: We maintain our \$170 fair value estimate for narrow-moat Qualcomm. Shares fell about 5% on the news, as September revenue guidance was only slightly ahead of FactSet consensus estimates. Shares appear slightly undervalued, perhaps out of concerns of future chip losses at Apple. Coming up: For the September quarter, Qualcomm expects QCT revenue to rise 7% at the midpoint of guidance. Handset revenue will rise about 5% sequentially as new products come online, while IoT revenue should be flattish sequentially. The firm was optimistic about its chances in the data center, first by discussing the acquisition of Alphawave Semi for \$2.4 billion in high-speed wired connectivity. Qualcomm is also in discussions with a hyperscaler that may bring in data center revenue starting in fiscal 2028. In general, Qualcomm might be able to carve out a slim piece of the artificial intelligence pie over time, but we don't view the firm's efforts as an imminent threat to existing vendors like AMD.

Qualcomm Earnings: Navigating Tariffs Rather Well; Shares Undervalued Brian Colello, CPA, Senior Equity Analyst, 1 May 2025

Qualcomm Inc QCOM ★★★ 5 Feb 2026 01:15, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
148.89 USD 4 Feb 2026	155.00 USD 5 Feb 2026 01:12, UTC	0.96	159.02 USD Bil 4 Feb 2026	 Narrow	 Large Value	High	Standard	 7 Jan 2026 06:00, UTC

Qualcomm's fiscal second-quarter revenue grew 17% year over year and both revenue and earnings per share were at the high end of guidance. June-quarter guidance calls for a deceleration to 10% year-over-year growth and was slightly below FactSet consensus estimates. Shares fell about 6% after hours. Why it matters: Qualcomm indicated that it is not facing any direct tariff headwinds, although it is plausible that a weak consumer landscape might weigh on near-term revenue, at least a little bit. Still, Qualcomm's guidance could have been much worse, given its significant exposure to China and to the consumer. Chip (QCT) handset revenue rose by 12% year over year, as subsidies in China are aiding the sale of premium Android-based smartphones, which rely on Qualcomm's advanced processors. QCT automotive and Internet of Things revenue remain strong growth drivers, up 59% and 27% year over year, respectively, albeit from smaller revenue bases than Qualcomm's core handset chip business. The bottom line: We lower our fair value estimate for narrow-moat Qualcomm to \$170 from \$180, but still view the shares as undervalued. We like Qualcomm's diversification efforts into autos and Internet of Things, but we're a bit more conservative on handset and PC chipset revenue growth. Despite the potential headwinds from tariffs, we're pleased to hear that Qualcomm expects 70% market share in Apple's iPhone 17 launch later this year. This is higher than our model, as it appears that Apple's internal modem rollout might be a relatively slow one until the iPhone 18. Qualcomm also hinted that its baseline chip content within Samsung's smartphones (presumably the flagship models) sits at 75%. Qualcomm's content in these Galaxy phones varies from year to year, and although Qualcomm has won more than it has lost at Samsung, we appreciate the comments.

Qualcomm Earnings: Executing Well With Strong Handset and Automotive Chip Growth Brian Colello, CPA, Senior Equity Analyst, 6 Feb 2025

Narrow-moat Qualcomm reported strong fiscal first-quarter results and provided investors with a decent outlook for the March quarter. Shares sold off about 5% after hours, perhaps out of concern that Qualcomm's licensing business (QTL) will achieve flattish revenue in fiscal 2025 versus a year ago, although we're not overly concerned with this slightly light forecast. We maintain our \$180 per share fair value estimate and view shares as slightly undervalued. Revenue in the December quarter was \$11.7 billion, up 14% sequentially, up 17% year over year, and above the high end of guidance of \$10.5 billion-\$11.3 billion. Qualcomm credits outperformance in its chip (QCT) segment, with growth in handsets, auto, and Internet of Things, or IoT, all above prior expectations. Handset revenue grew 13% year over year, thanks to higher volumes of premium Android smartphones that rely on Qualcomm's higher-priced processors. Automotive revenue continues to fare well off of a relatively smaller base, up 61% year over year. IoT revenue rose 36% year over year, with strength in consumer networking and industrial products. Adjusted operating margin came in at 37.6%, up 80 basis points year over year. Qualcomm expects revenue in the March quarter to be \$10.6 billion at the midpoint of guidance on a non-GAAP basis. At this level, revenue would be down 9% sequentially due to normal seasonal weakness but would still be up 13% year over year. Qualcomm expects handset, auto, and IoT chip

Qualcomm Inc QCOM ★★★ 5 Feb 2026 01:15, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
148.89 USD 4 Feb 2026	155.00 USD 5 Feb 2026 01:12, UTC	0.96	159.02 USD Bil 4 Feb 2026	 Narrow	 Large Value	High	Standard	 7 Jan 2026 06:00, UTC

revenue to grow 10%, 50%, and 15% year over year, respectively. QTL revenue is expected to be \$1.35 billion, up about 2% year over year. Finally, Qualcomm indicated that Arm has no current plan to terminate Qualcomm's architecture license agreement, which bodes well for Qualcomm's ability to continue innovating its Oryon CPU cores.

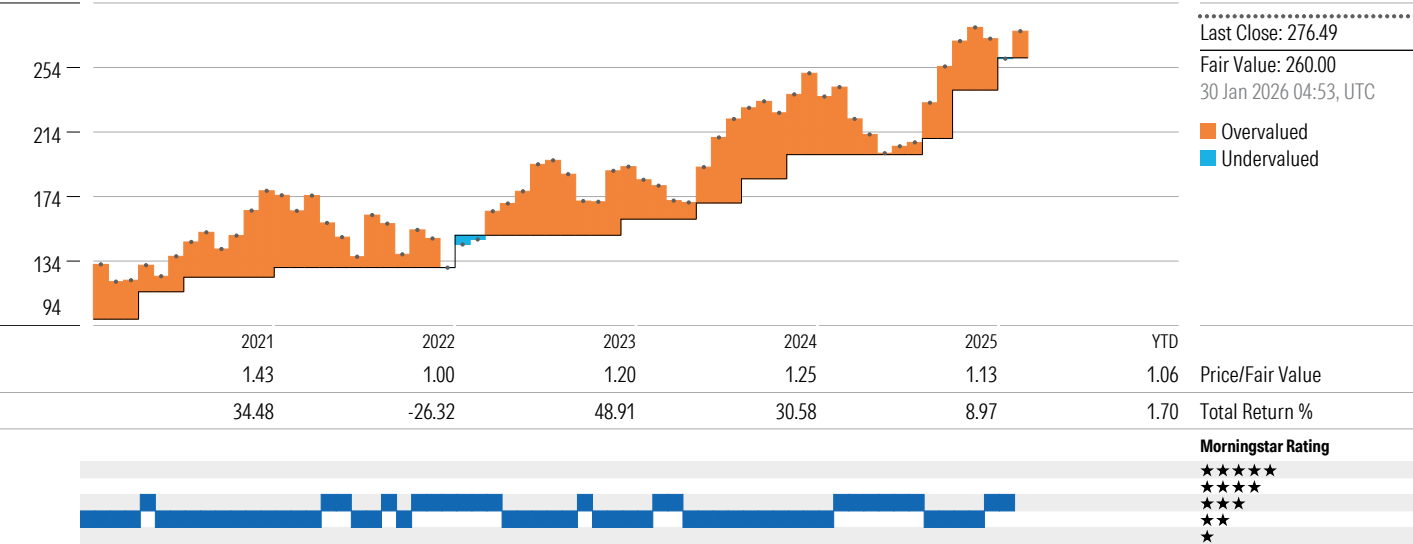
Qualcomm: Reports of Apple's Imminent Modem Launch Appear in Line With Our Expectations Brian Colello, CPA, Senior Equity Analyst, 6 Dec 2024

We maintain our fair value estimates for wireless chipmakers under our coverage, given a Bloomberg report that Apple's long-rumored development of an internal baseband chip, or modem, is imminent. Our fair value estimate for narrow-moat Qualcomm remains at \$180, narrow-moat Skyworks Solutions at \$95, and no-moat Qorvo at \$85. Apple's modem plans are generally unsurprising and baked into our estimates for Qualcomm. Apple will bring a lower-end modem into the iPhone SE in 2025 before striving to bring a modem on par with Qualcomm's capabilities into the iPhone 18 series introduced in late 2026. This is in line with Qualcomm's expectations of having only 20% share with Apple with the iPhone 18 series expected to be sold during its fiscal 2027. We're not surprised that Apple is also working on some radio frequency, or RF, content in future iPhones, also gaining share away from Qualcomm. The biggest surprise to us is that the report also mentioned some share loss for Qorvo, and we observed Qorvo's stock fall 5% upon the news. The report describes an Apple RF front end, or RFFE, system, and our best guess is that this RFFE will mostly pertain to the transceiver, which is often provided by the modem supplier (currently Qualcomm). The mention of Qorvo suggests, however, that perhaps some antenna tuning content might be at risk. Still, we suspect that Qorvo will retain some content in iPhones in the years ahead, but perhaps any potential upside might be capped off. The report mentions that Apple's RF relationships with Skyworks and Broadcom remain intact. This statement is consistent with our view for Skyworks and the RF filter space in general, as we struggle to see the advantages of Apple bringing this content in-house. All three stocks appear undervalued to us on Dec. 6, and although Qorvo is now the cheapest of the three, we're hesitant to proclaim the selloff as overdone, since it remains unclear as to how much share loss the company may face in the years ahead. ■■■

Qualcomm Inc QCOM ★★★ 5 Feb 2026 01:15, UTC

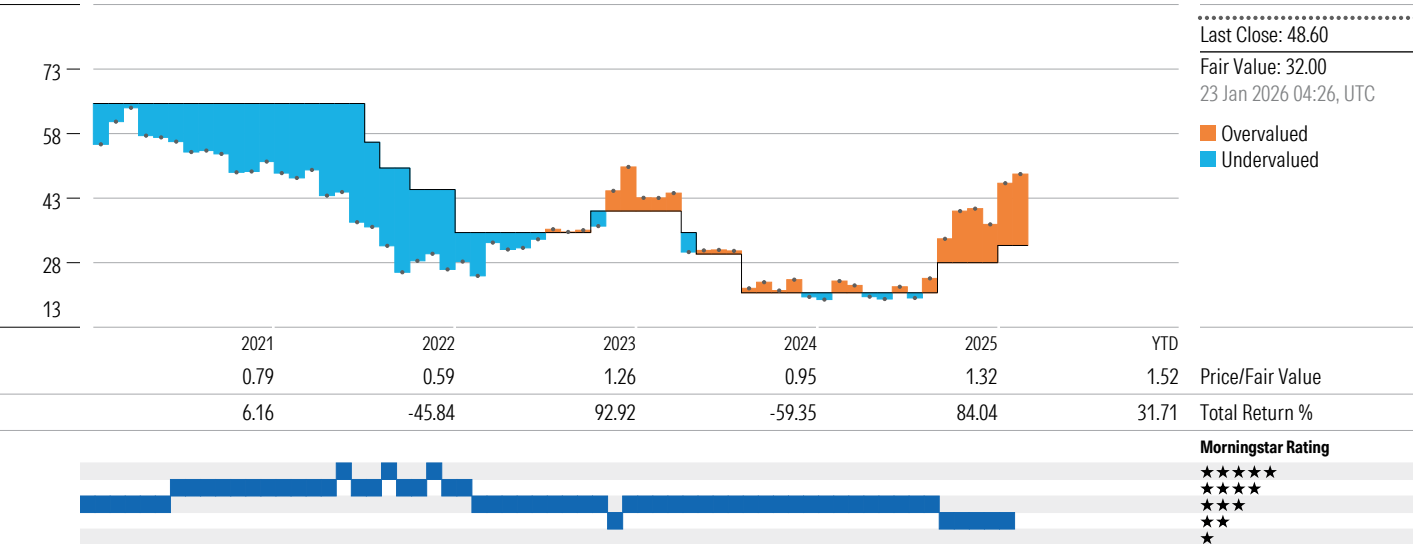
Competitors Price vs. Fair Value

Apple Inc AAPL



Total Return % as of 04 Feb 2026. Last Close as of 04 Feb 2026. Fair Value as of 30 Jan 2026 04:53, UTC.

Intel Corp INTC



Total Return % as of 04 Feb 2026. Last Close as of 04 Feb 2026. Fair Value as of 23 Jan 2026 04:26, UTC.

Qualcomm Inc

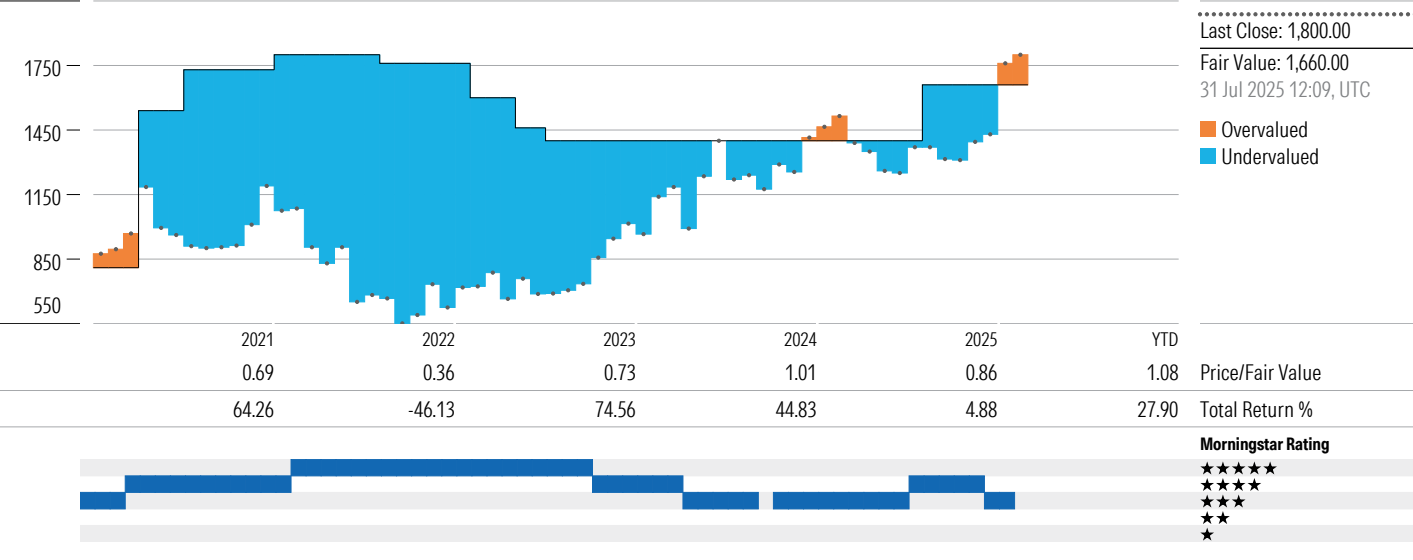
QCOM

★★★

5 Feb 2026 01:15, UTC

Competitors Price vs. Fair Value

MediaTek Inc 2454



Total Return % as of 04 Feb 2026. Last Close as of 04 Feb 2026. Fair Value as of 31 Jul 2025 12:09, UTC.

Qualcomm Inc QCOM ★★★ 5 Feb 2026 01:15, UTC

Last Price 148.89 USD 4 Feb 2026	Fair Value Estimate 155.00 USD 5 Feb 2026 01:12, UTC	Price/FVE 0.96	Market Cap 159.02 USD Bil 4 Feb 2026	Economic Moat™ Narrow	Equity Style Box Large Value	Uncertainty High	Capital Allocation Standard	ESG Risk Rating Assessment¹ 7 Jan 2026 06:00, UTC
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Morningstar Valuation Model Summary

Financials as of 04 Feb 2026

Fiscal Year, ends 30 Sep	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (USD Mil)	35,820	38,962	44,283	43,324	46,054	51,709	54,775	58,322
Operating Income (USD Mil)	8,650	10,250	12,394	9,923	10,482	12,592	13,320	14,255
EBITDA (USD Mil)	9,598	11,777	13,957	11,525	12,054	14,125	14,872	15,830
Adjusted EBITDA (USD Mil)	9,598	11,777	13,957	11,525	12,054	14,125	14,872	15,830
Net Income (USD Mil)	7,232	10,142	5,542	8,451	9,370	11,253	11,880	12,683
Adjusted Net Income (USD Mil)	9,486	11,545	13,300	11,217	12,037	14,249	15,053	16,062
Free Cash Flow To The Firm (USD Mil)	7,110	11,393	5,858	9,191	9,022	8,558	9,569	10,172
Weighted Average Diluted Shares Outstanding (Mil)	1,126	1,130	1,105	1,060	1,023	1,003	983	963
Earnings Per Share (Diluted) (USD)	6.42	8.97	5.01	7.97	9.16	11.22	12.08	13.17
Adjusted Earnings Per Share (Diluted) (USD)	8.43	10.22	12.03	10.58	11.76	14.20	15.31	16.67
Dividends Per Share (USD)	3.10	3.30	3.48	3.64	3.80	3.96	4.12	4.28

Margins & Returns as of 04 Feb 2026

	3 Year Avg	Actual			Forecast					5 Year Avg
		2023	2024	2025	2026	2027	2028	2029	2030	
Operating Margin %	25.2	24.2	26.3	28.0	22.9	22.8	24.3	24.3	24.4	23.8
EBITDA Margin %	—	26.8	30.2	31.5	26.6	26.2	27.3	27.2	27.1	—
Adjusted EBITDA Margin %	—	26.8	30.2	31.5	26.6	26.2	27.3	27.2	27.1	26.9
Net Margin %	19.6	20.2	26.0	12.5	19.5	20.3	21.8	21.7	21.8	21.0
Adjusted Net Margin %	28.7	26.5	29.6	30.0	25.9	26.1	27.6	27.5	27.5	26.9
Free Cash Flow To The Firm Margin %	20.8	19.9	29.2	13.2	21.2	19.6	16.6	17.5	17.4	18.5

Growth & Ratios as of 04 Feb 2026

	3 Year CAGR	Actual			Forecast					5 Year CAGR
		2023	2024	2025	2026	2027	2028	2029	2030	
Revenue Growth %	0.1	-19.0	8.8	13.7	-2.2	6.3	12.3	5.9	6.5	5.7
Operating Income Growth %	-5.7	-41.6	18.5	20.9	-19.9	5.6	20.1	5.8	7.0	2.8
EBITDA Growth %	-1.4	-45.5	22.7	18.5	-17.4	4.6	17.2	5.3	6.4	3.2
Adjusted EBITDA Growth %	-7.5	-45.5	22.7	18.5	-17.4	4.6	17.2	5.3	6.4	2.6
Earnings Per Share Growth %	-23.9	-43.5	39.7	-44.1	59.0	14.8	22.5	7.7	9.0	21.3
Adjusted Earnings Per Share Growth %	-23.9	-32.8	21.2	17.8	-12.0	11.2	20.7	7.8	8.9	21.3

Valuation as of 04 Feb 2026

	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	13.2	16.6	13.8	14.1	12.7	10.5	9.7	8.9
Price/Sales	3.5	4.9	4.0	3.7	3.5	3.1	2.9	2.7
Price/Book	5.8	7.3	8.7	8.5	7.3	6.0	4.9	4.1
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	13.6	16.2	13.1	14.2	13.6	11.6	11.0	10.3
EV/EBIT	15.1	18.6	14.8	16.5	15.6	13.0	12.3	11.5
Dividend Yield %	2.8	1.9	2.1	2.4	2.6	2.7	2.8	2.9
Dividend Payout %	36.8	32.3	28.9	34.4	32.3	27.9	26.9	25.7
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 04 Feb 2026

Fiscal Year, ends 30 Sep	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	14.2	18.4	11.1	18.0	19.0	21.0	20.1	19.9
ROE %	33.5	38.6	26.1	45.3	44.8	45.0	40.1	36.2
ROIC %	16.9	16.5	18.4	16.0	16.9	19.3	19.3	19.3

Qualcomm Inc QCOM ★★★ 5 Feb 2026 01:15, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
148.89 USD 4 Feb 2026	155.00 USD 5 Feb 2026 01:12, UTC	0.96	159.02 USD Bil 4 Feb 2026	Narrow	Large Value	High	Standard	7 Jan 2026 06:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Fiscal Year, ends 30 Sep								
Debt/Capital %	11.1	7.2	7.6	7.8	7.1	6.2	5.9	4.8
Assets/Equity	2.4	2.1	2.4	2.5	2.4	2.1	2.0	1.8
Net Debt/EBITDA	0.4	0.1	0.3	0.4	0.2	0.0	-0.2	-0.5
Total Debt/EBITDA	1.6	1.2	1.1	1.3	1.1	0.9	0.8	0.6
EBITDA/ Net Interest Expense	27.7	-44.4	-45.3	-371.8	-29.2	-28.6	-30.2	-32.1

Forecast Revisions as of 4 Feb 2026	2026		2027		2028	
Prior data as of 5 Nov 2025	Current	Prior	Current	Prior	Current	Prior
Fair Value Estimate Change (Trading Currency)	155.00	185.00	—	—	—	—
Revenue (USD Mil)	43,324	44,283	46,054	47,048	51,709	50,497
Operating Income (USD Mil)	9,923	12,394	10,482	11,937	12,592	13,186
EBITDA (USD Mil)	11,525	13,957	12,054	13,539	14,125	14,822
Net Income (USD Mil)	11,217	13,300	12,037	12,801	14,249	14,502
Earnings Per Share (Diluted) (USD)	7.97	5.01	9.16	9.33	11.22	10.88
Adjusted Earnings Per Share (Diluted) (USD)	10.58	12.03	11.76	11.69	14.20	13.49
Dividends Per Share (USD)	3.64	3.48	3.80	3.64	3.96	3.80

Key Valuation Drivers as of 04 Feb 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.6
Long-Run Tax Rate %	15.0
Stage II EBI Growth Rate %	6.0
Stage II Investment Rate %	28.7
Perpetuity Year	15

Additional estimates and scenarios available for download at <https://pitchbook.com/>.

Discounted Cash Flow Valuation as of 04 Feb 2026

	USD Mil
Present Value Stage I	29,225
Present Value Stage II	51,099
Present Value Stage III	78,651
Total Firm Value	158,975
Cash and Equivalents	12,478
Debt	14,811
Other Adjustments	0
Equity Value	156,642
Projected Diluted Shares	1,033
Fair Value per Share (USD)	155.00

Qualcomm Inc QCOM ★★★ 5 Feb 2026 01:15, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
148.89 USD 4 Feb 2026	155.00 USD 5 Feb 2026 01:12, UTC	0.96	159.02 USD Bil 4 Feb 2026	Narrow	Large Value	High	Standard	 7 Jan 2026 06:00, UTC

ESG Risk Rating Breakdown

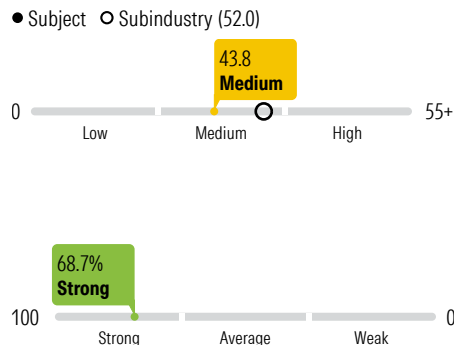
Exposure

Company Exposure¹	43.8
- Manageable Risk	40.4
Unmanageable Risk²	3.4

Management

Manageable Risk	40.4
- Managed Risk³	27.8
Management Gap⁴	12.7

Overall Unmanaged Risk 16.0



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure
- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 68.7% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment⁵



ESG Risk Rating is of Jan 07, 2026. Highest Controversy Level is as of Jan 08, 2026. Sustainalytics Subindustry: Semiconductor Design and Manufacturing. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 07 Jan 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure		Management		ESG Risk Rating	
Qualcomm Inc	43.8 Medium	0 —●— 55+	68.7 Strong	100 —●— 0	16.0 Low	0 —●— 40+
Apple Inc	33.7 Low	0 —●— 55+	59.1 Strong	100 —●— 0	15.2 Low	0 —●— 40+
Intel Corp	50.7 Medium	0 —●— 55+	68.0 Strong	100 —●— 0	19.1 Low	0 —●— 40+
MediaTek Inc	29.1 Low	0 —●— 55+	47.5 Average	100 —●— 0	16.2 Low	0 —●— 40+
—	— —	0 —●— 55+	— —	100 —●— 0	— —	0 —●— 40+

Appendix

Historical Morningstar Rating

Qualcomm Inc QCOM 4 Feb 2026 22:35, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★

Apple Inc AAPL 4 Feb 2026 22:36, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★	★★	★★	★★	★★★★	★★★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★★★	★★	★★	★★	★★	★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★	★★★★	★★	★★	★★★★	★★★★	★★	★★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★	★★	★★★★	★★	★★	★★	★★

Intel Corp INTC 4 Feb 2026 22:33, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	—	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a

long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working capital accounts, and capital spending. Based on these projections, we calculate earnings before interest,

after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

Margin of Safety		
Qualitative Analysis	★★★★★ Rating	★ Rating
Uncertainty Ratings		
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

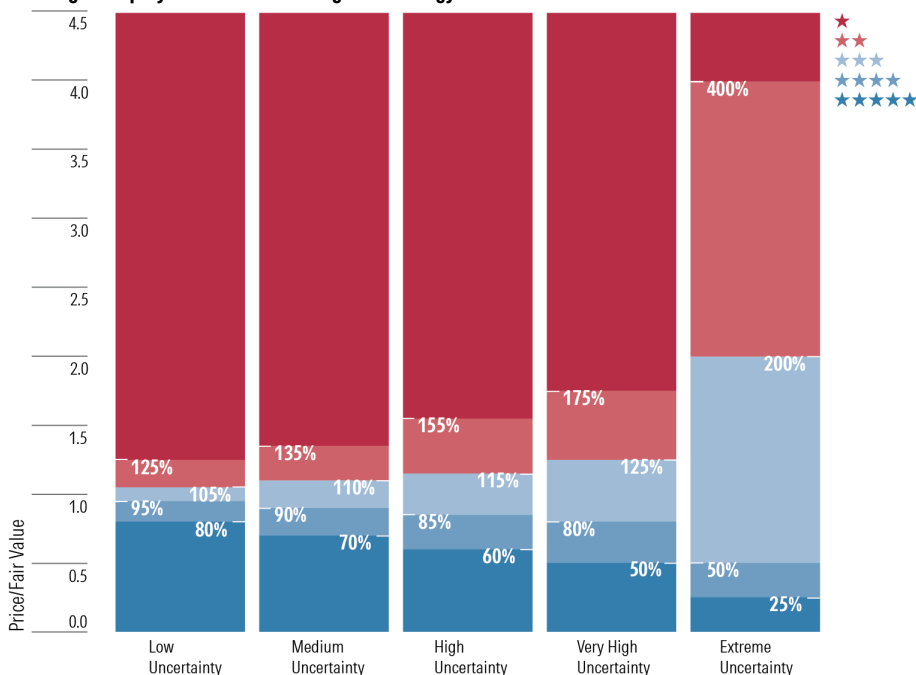
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to <https://shareholders.morningstar.com>

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multi-year time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score.

Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

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